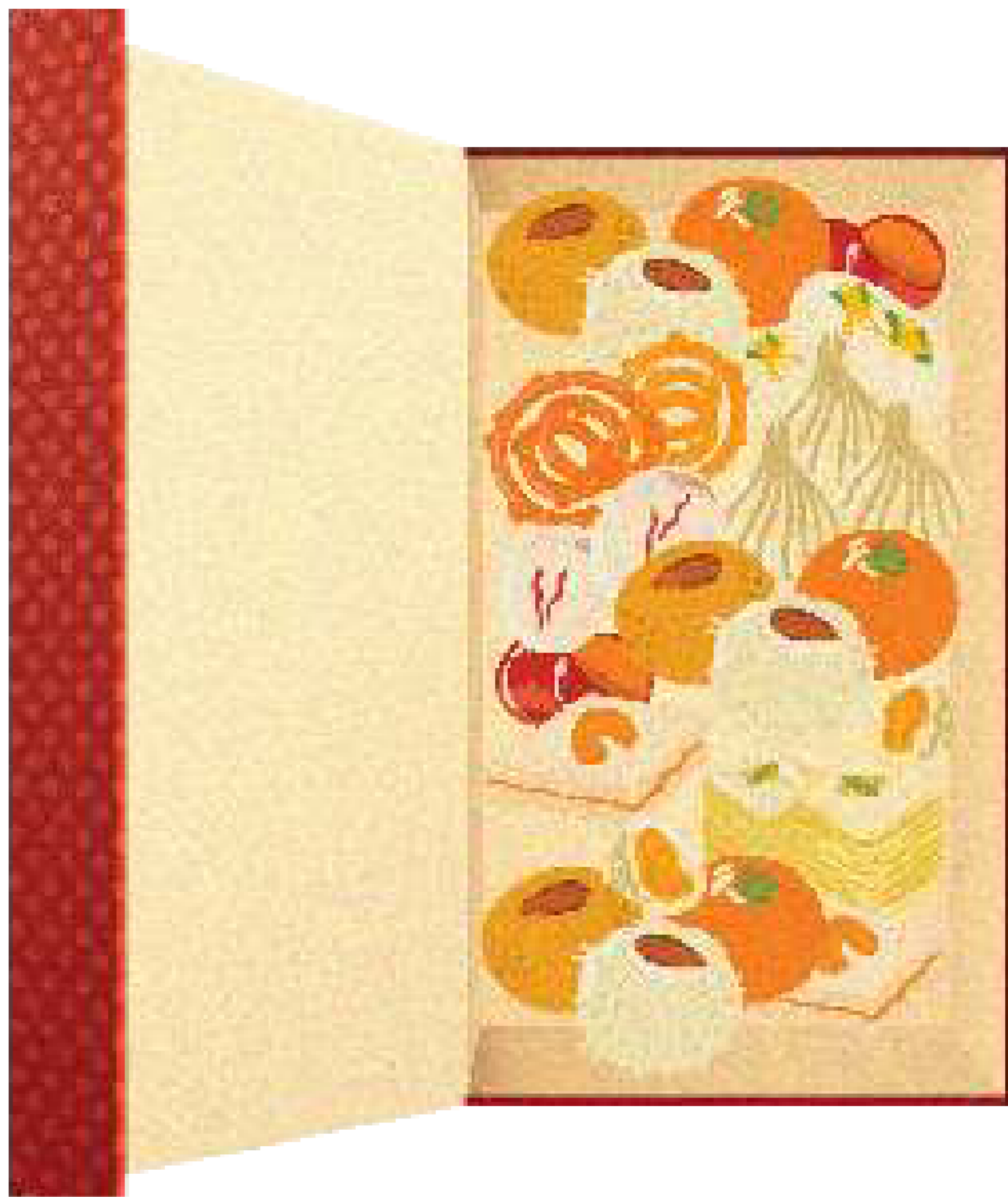


In simple words, Total Rewards is a total of all the tangible and intangible rewards provided to an employee by the company. Total Rewards make a job offer interesting for an employee.

Why are Total Rewards Attractive?



You may have observed that sweet shop owners pack different types of sweets and dry fruits in attractive boxes during festivals. The box looks so attractive that you end up buying it for its elegance rather than looking at the price of its individual components. Total Rewards is just like a sweet package. The packaging makes it attractive. Let's figure out the different components of the Total Rewards package.

Components of Total Rewards

Structurally, there are five components of Total Rewards. They are a mix of intrinsic and extrinsic rewards. These components are aligned with the Maslow Hierarchy of needs.

#	Component	Needs it meets	Includes
1	Compensation	Physiological	Salary, Bonuses
2	Benefits	Safety	Insurance, Social Security, Paid Leaves, Flexibility
3	Well Being	Belongingness	Hobby Clubs, Volunteering, Support Groups
4	Recognition	Esteem	Promotions and Recognitions
5	Development	Self-Actualization	Learning, Challenging Assignments, Exposure

Although rewards are compensation for the work. However, you should use the total rewards to drive and motivate people to perform and reach their full potential. You may also use it as a tool to align employee behaviors to the strategic priorities and culture of the organization. The total rewards are presented by companies in the form of Cost to Company.